BACKTEST THE PODCAST

FROM PODCAST CLAIMS TO MARKET REALITY - BY IMOGENE GARTHWAITE



INTRODUCTION

With financial podcasts becoming increasingly popular in recent years the amount of trading advice has quadrupled. Various podcaster have came out of the woodwork to sell you on “miracle” strategies and “guaranteed” get rich plans, but can we really trust all this information promoted? Backtest the Podcast is a platform that uses Python to backtest strategies against historical data to give you some clarity on who’s advice to take, during this project I will be using a combination of historical data alongside data visulasation to create profiles on influentential podcasters to evaluate how beneficial their advice has really held up and using the past as an indicatior not evidence of their validity.

PROBLEM STATEMENT

Research Question: To what extent do the trading strategies promotoed by financial podcasts illustrate positive outcomes when backtested/ evaluated against historical market data ?

It can be argued that there is now an oversaturation of financial advice within the podcast space, particularly aimed at young individuals who are looking for mentorship on the best way to enter the market space but have reduced ability to verify the information they are being told. Claims of profitable trading strategies may be based on personal experience, selective examples or inconsistent market strategies, not to mention an often lack of transparency about how much has been invested and the context behind the security of certain podcasters that their viewers may not have. This leads to a misrepresentation of the reality of trading and leads viewers toward financial loss.

AIMS AND OBJECTIVES

AO1 — Identify Trading Strategies

To review selected financial podcasts and identify specific trading strategies and claims made by their hosts

AO2 — Develop a Backtesting Model

To implement these selected strategies and into a developed backtesting model using python

AO3 — Evaluate Historical Performance objectively

To test strategies against historical financial date using a variety of performance metrics

AO4 — Be able to Compare and analyse results

To compare performance of strategies, identify limitations and assess whether the results support the claims

PROJECT PLAN

Phase 1 - Research and Strategy Selection

- Find relevant literature on algo trading to support arguments
- Find financial podcast samples to test

Phase 2 - Data Collection and preparation

- Obtain historical data of market
- Clean and organise the dataset for analysis

Phase 3 - Backtesting Model Development

- Use Python to create a computational test envrionment
- Simulate performance across the historical market conditions

Phase 4 - Evaluation/ Analysis and Conclusion

- Compare performance of strategies by using various different metrics
- Using these metrice draw conclusions with evidence with the limitations of backtesting in mind

LEGAL AND ETHICAL?

- This project will use publicly available content and historical financial datasets allowed for academic research
- Podcast and Hosts will be credited and the project will not extensive copyrighted content
- Results will be reported objectively, including negative findings, and avoid misleading concluisions

USE OF AI

- AI tools will be used responsibily to aid with research and planning, as well as to act as an additional support for clarity and debugging
- Any AI suggested code will be reviewed, tested and validated by myself
- Any AI output will not be used as verified evidence, all calculatations and backtesting results and conclusions will be checked by myself
- This final project will demonstrate **my own** understanding of my system and evaluation

KEY LITERATURE

To be decided at Phase 1 but here are some ideas...





